

Working Groups (all)

GY457 Autumn Term 2025 (Seminar Topic 9)

Lecturer: *Dr Sara Bagagli*

Background¹

During the lecture, we discussed suburbanisation and gentrification – two major urban trends that many cities experienced over the last century. Besides economic mechanisms driving endogenous neighbourhood sorting cycles, we also discussed how gentrification affects homeowners and renters differently. In practice, gentrification remains a controversial topic. In one aspect, freely adjusting rents is important from a welfare perspective to clear housing markets and ensure that the scarce resource of land is used efficiently. On the other hand, mobility costs imply that neighbourhood gentrification generates losers, which are often among the economically more vulnerable groups, creating an equity issue. Whether or not policy should intervene in the market to protect incumbent renters in gentrifying neighbourhoods, e.g., by limiting the degree to which landlords can adjust rents, remains a delicate issue. The purpose of this seminar is to engage in a discussion on this topic, following the structure of UK House of Commons Select Committee style inquiries.

Inquiry scope

The purpose of this inquiry is to bring gentrification into the discussion of policymaking. In particular, the inquiry explores the welfare consequences of gentrification and its empirical evidence. The stakeholders in the oral evidence session include policymakers, academics, representatives of local resident groups and NGOs, local authorities, and developers. The specific (hypothetical) place-based policy called "protected neighbourhoods" that the inquiry is looking into is a potential rental ban, which aims at mitigating displacement pressures caused by gentrification:

'Landlords must not increase the rent by more than 10% in 10 years following the designation of protected neighbourhood'

General task

Each seminar group is divided into five working groups. Consider the seminar allocation *GY457 Seminar 9 Working Group Allocation* to identify your role. The role of the House of Commons Select Committee is to examine the work of government departments. The seminar

¹ The seminar was originally designed by Prof. Ahlfeldt and is kindly used with permission.

will follow the structure of the Committee's oral evidence sessions. The purpose of the Committee's oral evidence sessions is to garner evidence from a wide range of relevant stakeholders. This will, in turn, support more robust policy recommendations.

Working group 1 – Select Committee: The Committee normally consists of cross-party Members of Parliament (MPs). For this exercise, the MPs of the Committee are assumed to be politically impartial.

You need to come up with policies that maximise the total welfare of the society based on the evidence that you gather at the inquiry whilst taking into account practical issues such as budget deficit.

Working group 2 – Academics: The group of academics consists of urban economists who have no political agenda. Their answers are derived purely from theory and evidence.

You need to draw evidence from existing literature and theories and utilise the material we covered during the lecture. You are encouraged to use graphs to illustrate the implications of the rental ban. You need to have a conclusion of your findings and try to influence the Select Committee to design policies based on your evidence.

Working group 3 – Local residents and NGOs: The panel features representatives of local residents who have gone through displacement and representatives from housing charities who are opponents of gentrification. This group's interest is to protect incumbent tenants, e.g., through regulation of the rental market.

You are in favour of a rental ban. However, you would like the rental ban to be in place for longer than 10 years. You need to lay out supporting evidence and lobby for changes that are in favour of your position.

Working group 4 – Local Authorities: The panel features representatives from local authorities. You can choose whether you would want to be a labour party or a conservative party-dominant local council. You can even pick a London local council to represent. You can assume that a conservative party-dominant local council is overall in favour of gentrification and developer-friendly, whilst a labour party-dominant local council is more protective of existing local tenants.¹

Depending on your political stance, you need to define why a rental ban is (or is not) the most optimal strategy. You also need to take into account practical issues such as funding.²

Working group 5 – Developers: The panel features representatives from developers who have invested in neighbourhoods in anticipation of raising rents. They advocate a free market

¹ In a speech at the 2017 Labour Party Conference, Labour Party leader Jeremy Corbyn said: 'Councils will have to win a ballot of existing tenants and leaseholders before any redevelopment scheme can take place'. In 2018, the Mayor of London published guidance, which requires residents to ballot for council estate regeneration.

² We can assume that local authorities are funded by a combination of central government grants, council tax and business rates.

approach for urban development since, with a cap on rental growth, they would not be able to recover their investments and make losses.

You are opponents of a rental ban. You need to defend why gentrification can help achieve greater social welfare. You also need to influence the Select Committee to design policies that are more developer-friendly and less intervening.

Before the Seminar

Readings to be carried out prior to the seminar:

Ellen, I. G., and O'Regan, K. (2012). Gentrification: Perspectives of economists and planners. In *The Oxford Handbook of Urban Economics and Planning* Oxford University.

Sample Oral Evidence Session: <https://parliamentlive.tv/Event/Index/0a4e4362-3a26-4589-a8eb-7300f359be0d>

- 1. Discuss with your working group.** Each working group needs to work together and independently of each other.
- 2. Collect your evidence and draft your presentation.**
 - For working group 1, you need to draft questions that you are going to ask to working group 2 – 5. You should prepare 5 – 8 questions for each working group and ask the most relevant ones during the seminar, depending on the evidence presented by the working group who is presenting. Read the next section, 'During the seminar,' to check what your questions should focus on.
 - For working groups 2 – 5, you each need to draft a presentation that states your positions, arguments, and supporting evidence. You need to recommend policies based on your evidence. You also need to think about potential questions that the Select Committee may ask during the inquiry.

During the seminar

The seminar will be organised in four sessions, during which a different group will be heard. During each session, each member of the Select Committee is required to ask at least one question during each oral evidence session with an opportunity for a follow-up question. Likewise, the Committee needs to make sure that every representative on the panel giving the oral evidence answers at least one question. We will proceed in the following sequence:

1. Academics (15 minutes)
 - Questions asked by the Select Committee during the first session are likely to focus on welfare consequences, gentrification models, measures, and respective empirical evidence.

2. Local residents and NGOs (15 minutes)

- Questions asked by the Select Committee during the second session are likely to focus on the grassroots impact of gentrification using anecdotal evidence. The local residents and NGO representatives are expected to give evidence and arguments defending their position.

3. Local authorities (15 minutes)

- Questions asked by the Select Committee during the third session are likely to focus on the role of local government in the process of gentrification. The local councilors are expected to defend their positions and influence future policies. They also need to brief current policies and measures that are in place, ensuring the overall welfare of local residents as well as their effectiveness.

4. Developers (15 minutes)

- Questions asked by the Select Committee during the fourth session may be related to the welfare implication of private sector-led development and the future of real estate development. The developers are expected to provide evidence and arguments to defend their position.

5. Policy recommendations from the Select Committee (10 minutes)

- At the end of the oral session, the Select Committee will have an open discussion for 5 minutes based on the evidence gathered from the academics, local residents and NGOs, local authorities, and developers. The Committee should cast a vote on whether or not there should be a rental control and come up with a short policy recommendation based on the majority vote. Working groups 2 – 5 will listen to the Select Committee's discussion and note down how their evidence is interpreted and translated into policymaking.